

Settlement Module — BRD

Version 1.0 · March 2026 · Confidential

1. Purpose

This BRD consolidates the binding rules that govern the Swasthera Settlement Module. It is the single reference for engineering, finance, compliance, and BD teams to validate behaviour across onboarding, order tracking, tax compliance, return handling, settlement computation, and payout.

2. Phase Gates (Sequential, Non-Skippable)

The module operates across six phases. Each phase is gated — a downstream phase cannot start until the upstream gate condition is satisfied.

Phase	Gate Condition (must be TRUE to proceed)
1. Onboarding	KYB API passes AND Finance Supervisor (Checker) approves all entities — Company, Brand, Warehouse, Documents.
2. Fynd Sync	Fynd API returns fynd_company_code, fynd_brand_id, fynd_location_id and IDs are persisted in mapping table.
3. Order Tracking	order_id and bag_id captured at checkout; payment reconciled via PGW; bag_invoiced state received.
4. Return Window	delivery_done received AND brand-configured return window has expired with no active return.
5. Settlement	All compliance entries reconciled AND Finance team approves settlement on dashboard.
6. Payout	Bank transfer initiated; UTR recorded; bag_id locked as SETTLED.

3. Onboarding & Master Data Rules

3.1 Maker–Checker

- Maker (Finance/BD user) creates Company, Brand, Warehouse records and configures commission % and return window days.
- Checker (Finance Supervisor) is the sole approver. The Maker cannot self-approve, cannot bypass the Checker, and cannot submit for approval until KYB has passed.
- On rejection, the record returns to the Maker with comments; resubmission restarts the Checker review.

3.2 KYB Verification

- KYB is invoked instantly via API on PAN submission and verifies GST, PAN, CIN, and Bank.
- KYB FAILED blocks onboarding entirely — no document upload, no Checker submission. The brand must resubmit corrected details.
- KYB PASSED is a hard prerequisite for document upload and Checker review.

3.3 Master Data Hierarchy

- **Company → Brand → Warehouse.** One company can have multiple brands; one brand may exist under multiple companies (trading entities). One brand may have warehouses across multiple states.
- **Settlement payment is always made to the company bank account** — never to a brand-level account.
- **Commission is tracked at company + brand level.** The same brand can carry different commission % under different companies.
- **Return window is configured at brand level** (brand_master.return_window_days).
- **Warehouse state GSTIN drives TCS filing state.** TCS is filed in the state from which goods are dispatched.

3.4 Versioning

- Commission Master is versioned. When a rate changes, the current record's effective_to_date is set and a new record is inserted with a new effective_from_date. Historic rates are never overwritten.
- **Order-date rule:** every order is settled at the commission rate that was in effect on its order_created_at date — not the current rate.

4. Order Tracking & OMS State Rules

Swasthera syncs all 77 Fynd OMS bag and order states via API. Most states are stored for audit only; the table below lists the states that change settlement eligibility or trigger a compliance action.

OMS State	Settlement / Compliance Action
bag_invoiced ★	Auto-invoice generated on behalf of brand and emailed to customer; TCS + TDS accrual triggered.
delivery_done ★	Return-window timer starts for the bag using the brand's return_window_days.
return_window_expired	Bag becomes ELIGIBLE for the next settlement cycle (provided no active return).
return_initiated	Settlement HOLD placed on bag_id; bag is excluded from the current cycle.
return_bag_delivered ★	Bag PERMANENTLY excluded; commission, TCS, and TDS reversed in ledger.
return_request_cancelled	Hold lifted; bag returns to eligible pool.
cancelled_customer / cancelled_fynd / cancelled_brand	Bag excluded. If cancellation is post-invoice, TCS + TDS are reversed.
rto_initiated / rto_bag_delivered	Bag excluded; on rto_bag_delivered, TCS + TDS are reversed.
partially_delivered	Only the delivered quantity is eligible for settlement; TCS/TDS computed on delivered qty only.

★ marks a critical decision state that changes settlement eligibility or compliance liability.

5. TCS & TDS Compliance Rules

5.1 Trigger & Accrual

- **Both TCS and TDS accrue at bag_invoiced.** The invoice date is the accrual date — not the order date and not the delivery date.
- **TCS basis:** warehouse state GSTIN (state from which goods are dispatched).
- **TDS basis:** company GSTIN / PAN (and TAN if provided by brand).
- Settlement cannot close while compliance entries for any bag in the cycle remain unreconciled.

5.2 Rates & Statutory Basis

Tax	Section	Rate	Base / Threshold
TCS — GST	Section 52, CGST Act	1% total (0.5% CGST + 0.5% SGST), or 1% IGST inter-state	Net taxable supplies through the platform
TDS — Income Tax	Section 194-O	1% of gross consideration	Gross ESP credited to brand; threshold INR 5 lakh aggregate per FY

5.3 Filing Calendar (Monthly / Quarterly)

Activity	Due Date	Owner
TCS payment	7th of the following month	Finance team (manual portal payment)
TDS payment	10th of the following month	Finance team (manual portal payment)
TCS return — Form GSTR-8	Monthly	Finance CA
TCS return — Form 27EQ	15th of month after quarter-end	Finance CA
TDS return — Form 26Q	31st of month after quarter-end	Finance CA
Form 16A issuance to brand	Quarterly	Finance CA

5.4 Reversals & Cross-Month Returns

- **Every return_bag_delivered, RTO, or post-invoice cancellation triggers a TCS + TDS reversal entry for that bag_id** in the current month's ledger.
- If a return spans across months, the reversal is applied in the month the return is confirmed — reducing that month's net liability before the 7th / 10th deadline.

- **Post-settlement returns:** no reverse bank transfer is initiated. Instead a credit note is raised against the commission invoice; TCS/TDS adjustments flow through the next compliance cycle; and the credit note amount is netted off the brand's next settlement.

6. Return Window & Settlement Eligibility

- **Eligibility requires both** delivery_done AND return-window expiry with no active return. Both conditions must be true at the moment of cycle cut-off.
- If a return is raised within the window, the bag is placed on settlement HOLD and excluded from the current cycle until the return is resolved.
- Return accepted (return_bag_delivered) → bag is permanently excluded; commission, TCS, and TDS are all reversed.
- Return rejected by merchant or delivery partner → hold lifted, bag re-added to the next eligible cycle.
- Return-window length is per-brand (brand_master.return_window_days) and timed from the bag's delivery_done timestamp.

7. Settlement Computation — Deduction Waterfall

Settlement runs on a bi-monthly cycle (1st–15th and 16th–end of month), grouped by company. The system applies the waterfall below to each company's eligible bag set.

#	Line Item	Formula / Source	Note
1	Gross Merchandise Value (GMV)	SUM(ESP across eligible bag_ids)	From Fynd order report
2	– Brand-funded promotion	SUM(brand_discount per bag)	Reduces brand payout
3	– Marketplace-funded promotion	SUM(marketplace_discount per bag)	Borne by Swasthera; does NOT reduce brand payout
4	= Net Payable Before Commission	Step 1 – Step 2	Note: Step 3 is informational, not deducted from brand
5	– Commission	Step 4 × commission % at order date	Rate from Commission Master, version effective on order_created_at
6	– GST on Commission	Step 5 × 18%	Invoiced on company Master GSTIN
7	– TCS	1% of taxable supply per bag	Already accrued on invoice date; per warehouse state GSTIN
8	– TDS	1% of gross ESP per bag	Per company GSTIN/TAN; Section 194-O
9	– MDR (Payment Gateway)	Pass-through at actuals	Per PGW agreement
10	= Net Payable to Brand	Settlement statement total	Transferred via NEFT/RTGS to company bank account

8. Guard Rules (Hard Constraints)

- **No duplicate settlement:** a bag_id cannot appear in more than one settlement cycle. The SETTLED status places a permanent lock.
- **Return window must expire before settlement is initiated** for any bag.
- **Active returns are excluded** from the current cycle until resolved.
- **Accepted returns are permanently excluded** — no future cycle ever pays them.
- **Payment is to the company bank account only** — never to a brand-level account.
- **Commission rate lookup** must use the company + brand combination AND the version effective on the order date.
- **Compliance reconciliation must close** before any settlement cycle is marked complete.
- **Finance Supervisor approval** is mandatory at two checkpoints: (a) onboarding gate, and (b) before payout is released. Neither can be bypassed.

9. Approval & Reporting Rules

9.1 Approval Workflow

- Settlement statements (per company) are presented to Finance on the dashboard with brand-wise breakdown, total net payable, and anomaly flags.
- Finance approves or rejects per company. Rejection requires comments and routes the cycle back for recalculation; the cycle does not progress to payout.
- On approval, Commission Invoice and Statement of Claim (SoC) are auto-emailed to the brand's Finance SPOC, and bank transfer is initiated to the company account.

9.2 Mandatory Auto-Generated Outputs

- **Commission Invoice:** Swasthera GSTIN, company Master GSTIN, SAC 9983, commission amount, GST 18%, total. Carries digital signature of authorised signatory.
- **Statement of Claim (SoC):** 27 fields per bag including order/bag IDs, dates, MRP, ESP, brand/marketplace discounts, commission %, GST, TCS, TDS, MDR, net payable, settlement status, UTR.
- **Payout Report:** bag_id, net payable, UTR, settlement date — sent post-bank transfer.
- **TCS Certificate (monthly) and Form 16A (quarterly):** issued to brand compliance team after government filings.
- **Real-time dashboard reports:** Transaction & Net Payable Report and Gross Payable Report (estimated future payable for bags still in window).

10. Open Items Pending Closure

The following items remain open in the source BRD and must be closed before go-live. Each carries a downstream impact on the rules above:

Open Item	Owner
Commission Invoice — per brand vs. consolidated per company per cycle	Finance + CA
Local Promotion/Coupon Master vs. relying on Fynd's 4 discount columns	Finance + Product
TCS filing approach — consolidated GSTR-8 across brands or per brand GSTIN	CA / Compliance
TDS exemption check — verify any brand below INR 5 lakh threshold	CA
Settlement cycle dates — confirm bi-monthly cadence (1–15 / 16–end)	Finance
Credit note format — system-generated vs. manual	Finance + Product
TCS GSTIN — company master GSTIN or warehouse state GSTIN	CA / Compliance
Dashboard role-based access by brand	Product